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Large loads: who pays and who gets connected

Data centers & large-load power · as of November 2026 · a dated snapshot, not a forecast

The fight over large loads has moved from who pays for the wires to who carries the cost of a late date, and the rules for that are still unwritten.

THE SHORT VERSION

Every large load creates a cost someone has to carry: the upgrade, the capacity, and the risk that the load or its power shows up late or not at all. In the spring the argument was about rates. By the fall it was about time. When grid power arrives in years and on-site power is sold out, the party without a firm, dated supply carries the cost. FERC's October 9 order sent the hardest part of that question, who gets curtailed first, back to the states. So for now, the cost of being late is priced in contracts, not in a market rule.

WHERE IT STANDS NOW

- **PJM's large-load plan was mostly rejected.** On October 9, 2026, FERC rejected the core of PJM's proposal: an interim service letting new large loads connect early if curtailed first, plus the bring-your-own-capacity rules. FERC found it intruded on state authority over retail customers. It kept PJM's large-load definition and a registry (Utility Dive, October 12, 2026). FERC left room for a refiling and said states have a "crucial role," including deciding who gets curtailed.
- **The backstop procurement was refiled around who pays.** On September 29, 2026, FERC partly approved PJM's reliability backstop procurement but questioned its cost allocation, suggesting updated load forecasts; PJM delayed it (Utility Dive, September 30, 2026). DOE then urged PJM to keep data-center costs off existing customers and to track whether large-load projects actually come online (Utility Dive, October 8, 2026). PJM refiled on October 29. Costs would go to each zone by its large-load growth between the actual 2026 summer peak and the 2028/29 forecast, the opt-out for some municipal utilities and co-ops is removed, and bidding for about 6.8 GW, which PJM will recalculate, would run March 1 to 28, 2027 (PJM Inside Lines, October 29, 2026). FERC has not yet ruled on it.
- **FERC is working market by market.** On June 18, 2026, FERC issued six show-cause orders on large-load interconnection, including cost-shift prevention (Foley & Lardner, June 30, 2026).
- **The deals.** Google and Constellation announced a 3,590 MW agreement on October 6, 2026. Of that, 890 MW is a 20-year agreement tied to reactor uprates, with first output in 2028, and 2,700 MW is a supply agreement from Constellation's PJM fleet (Reuters via TimesLIVE, October 6, 2026). Coverage tied it to PJM's bring-your-own-capacity proposal, the one FERC has now largely rejected.

WHAT IT MEANS IF YOU SELL INTO THIS

- **Price the bridge, not the megawatt.** Your buyer's exposure is the gap between their load's arrival and your supply's.
- **Make the cost split visible.** The backlash this year ran on one question: who benefits from this deal, and who pays?
- **Flexibility is currency, but the exchange rate is set by states now.** With PJM's federal curtail-first route rejected, any trade of curtailability for faster connection runs through state rules and utility tariffs.

> **The question I'd want answered first: If your supply date slips past your buyer's load date, who carries that gap in your current contract?**

WHAT TO WATCH

- **PJM's cost allocation, December 2026 to March 2027.** Does FERC accept the October 29 refiling, which charges backstop costs to the zones where large loads are growing, before bidding opens March 1? And what does the 2029/30 base capacity auction, scheduled for early December, clear at?

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Built from my published LinkedIn posts on this thread (April to October 2026), read against the filings and reporting cited above. Engagement is attention, not demand. Sources as of November 2026.